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Subject: ECONOMIC WEEK AHEAD: October 26-30
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YARDENI QUICKTAKES

# ECONOMIC WEEK AHEAD: October 26-30

By Ed Yardeni & Toby Hearst • 24 Oct 2026

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Photo by Monica Sauro / Unsplash

## Live Economic Calendar

October 26–30, 2026

| Monday | Tuesday | Wednesday | Thursday | Friday |
|---|---|---|---|---|
| 26 | 27 | 28 | 29 | 30 |
| • Chicago Fed Nat'l Activity (Sep)<br>• Dallas Fed Business Survey (Oct) | • Case-Shiller HPI (Aug)<br>• Consumer Confidence (Oct)<br>• Durable Goods (Sep)<br>• New Home Sales (Sep)<br>• Richmond Fed Business Survey (Oct) | • FOMC Meeting Statement<br>• Mortgage Applications (10/23) | • GDP (Q3)<br>• Personal Income (Sep)<br>• Unemployment Claims (10/24) | • Chicago PMI (Oct)<br>• Employment Cost Index (Q3) |

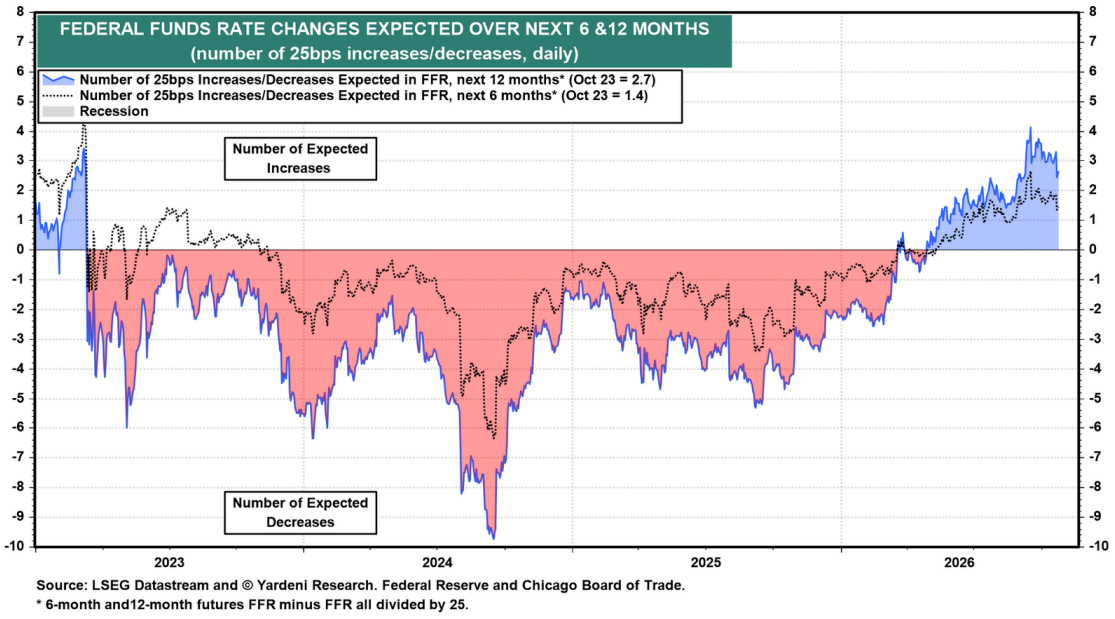
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The S&P 500 fell 0.5% last week, and the Nasdaq dropped 0.7%, both posting second straight weekly losses. The Nasdaq's 2.9% slide on Thursday was its biggest one-day drop since June, as concerns flared over the cost and availability of financial capital for AI investment. The price of WTI crude topped $100 a barrel amid US-Iran conflict concerns, while the 10-year Treasury yield fell to 5.0%.

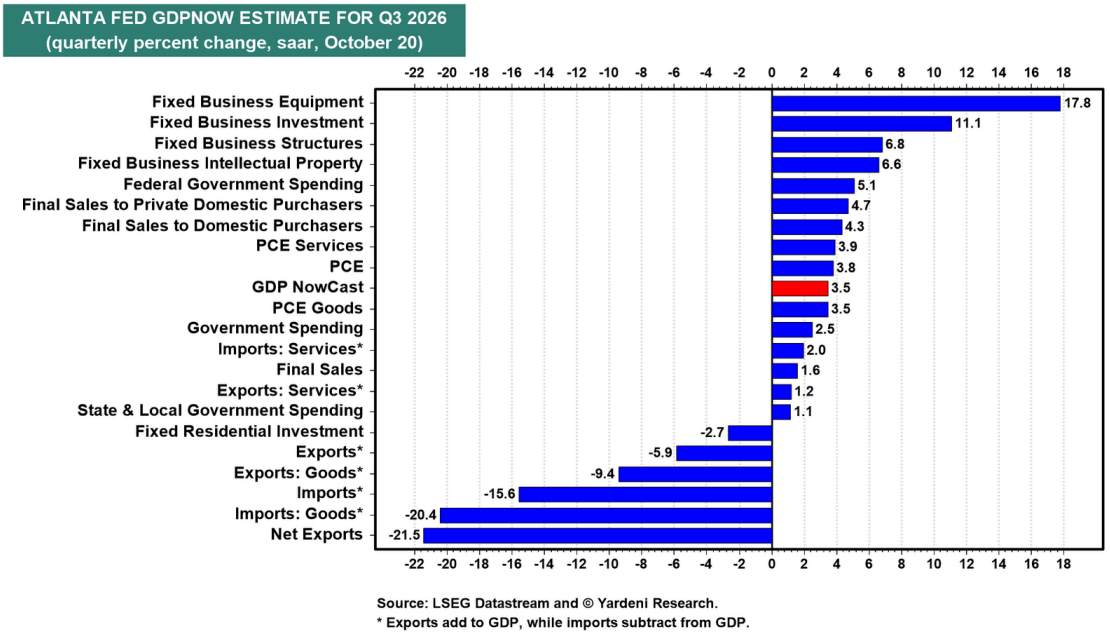
The FOMC meeting (Wed) is the focus this week, alongside the release of Q3 GDP and September's PCED inflation report (Thu). San Francisco Fed President Mary Daly and St. Louis Fed President Alberto Musalem speak on Friday. A heavy week of Q3 earnings reports rounds out a packed calendar. Here's more:

**(1) FOMC.** The FOMC's two-day meeting concludes Wednesday, followed by Fed Chair Kevin Warsh's press conference. The CME FedWatch Tool puts the odds of a hike this week at 9% and the odds of one in December at 84%. Federal funds futures imply 2.7 rate hikes over the next 12 months and 1.4 over the next six (chart). We believe the committee should hike on Wednesday but won't because the midterm elections are so close.

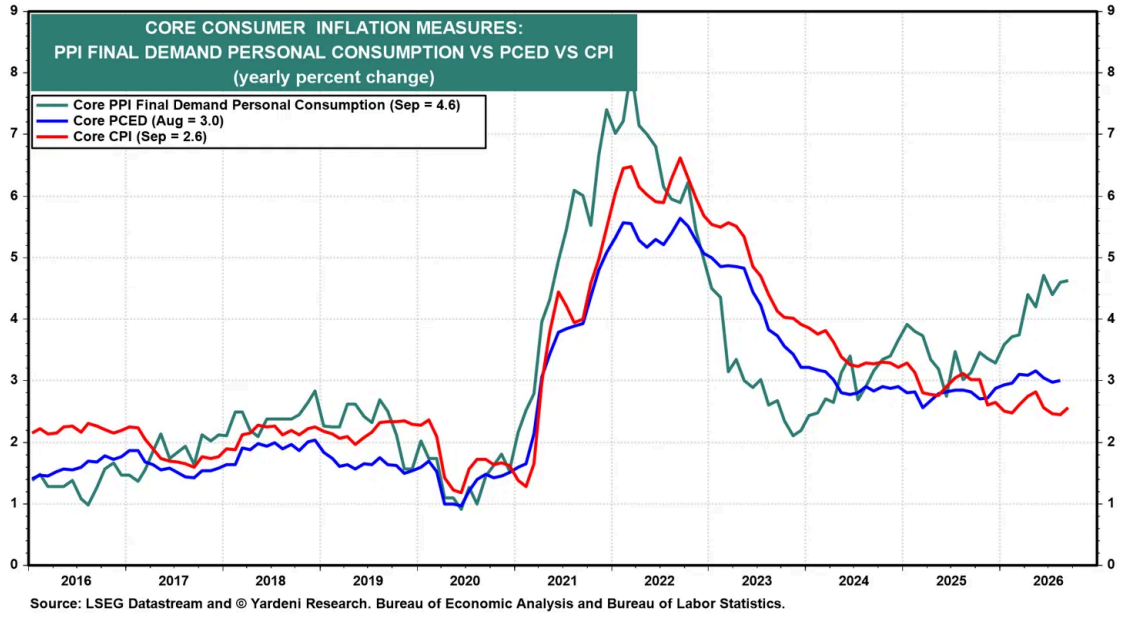



Source: LSEG Datastream and © Yardeni Research. Federal Reserve and Chicago Board of Trade.
* 6-month and12-month futures FFR minus FFR all divided by 25.

**(2) GDP & PCED.** The first estimate of Q3 GDP (Thu) follows Q2's third estimate of 2.2% saar, with the GDP price index up 6.1%. The Atlanta Fed's GDPNow model estimates Q3 growth at 3.5% as of October 20, led by a 17.8% jump in business equipment spending (chart).



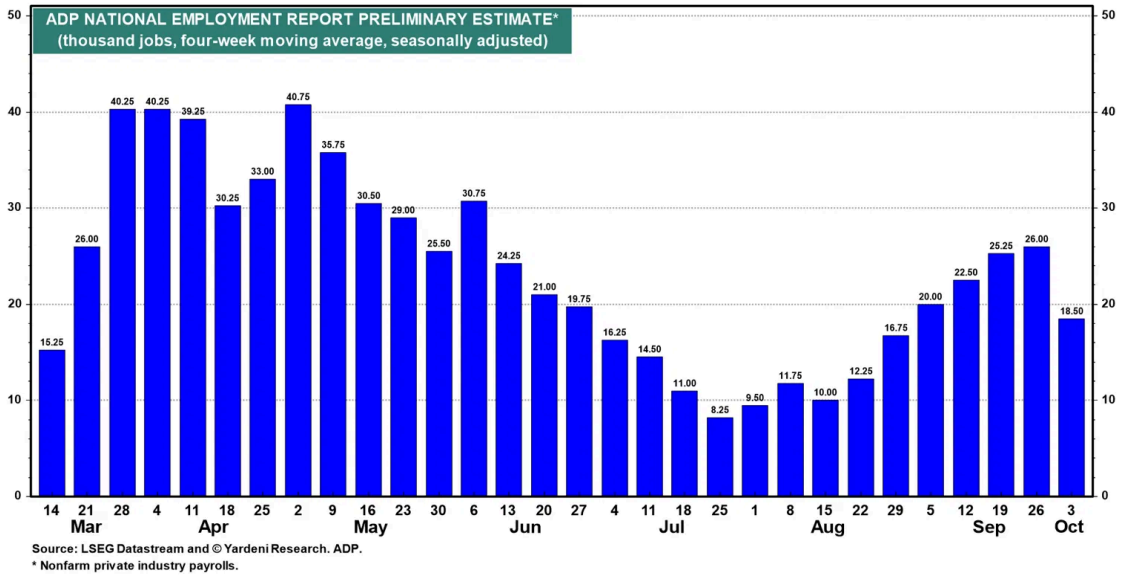

September's core PCED (Thu) follows August's 3.0% y/y. That was well below September's 4.6% pace of core PPI final demand for personal consumption and above the core CPI's 2.6% (chart). The Cleveland Fed's Inflation Nowcasting model projects September's core and headline PCED at 3.1% and 3.6% y/y, up from August's 3.0% and 3.4%. (The model's m/m rates are 0.28% and 0.47%.)



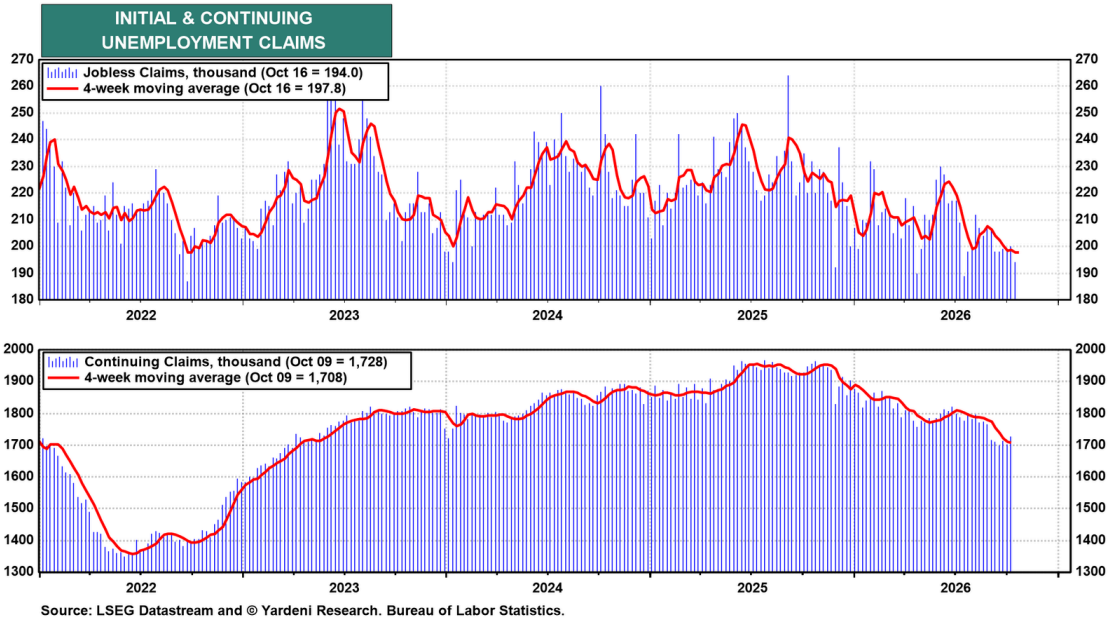

CPI computer software and accessories rose 28.4% y/y in September and PPI electronic components 26.8%, while PCED computers and peripheral

equipment rose just 8.4% in August. September's PCED will show whether that gap starts to close.

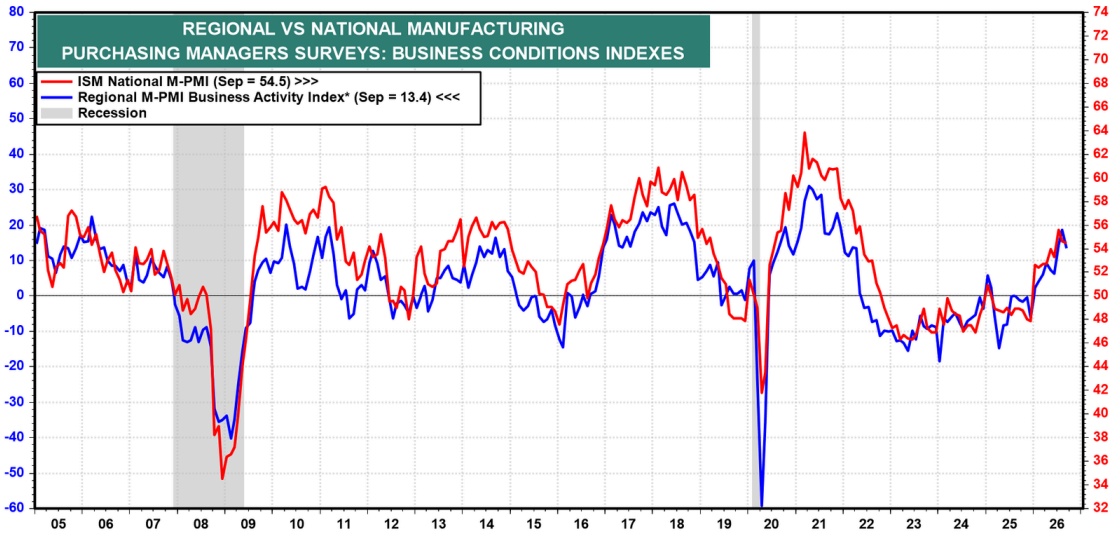
**(3) ADP & unemployment claims.** ADP's weekly employment reading (Tue) follows a drop in the four-week average to 18,500 for the week ended October 3, down from 26,000 the prior week (chart). That's still more than double July's low of 8,250, pointing to a solid October payrolls report.




Initial jobless claims (Thu) follow last week's 194,000, below expectations and near the lowest level since the late 1960s. The four-week average stands at 197,800 (chart). Continuing claims rose to 1,728,000 for the week ended October 9, up from 1,710,000, while their four-week average edged down to 1,708,000.



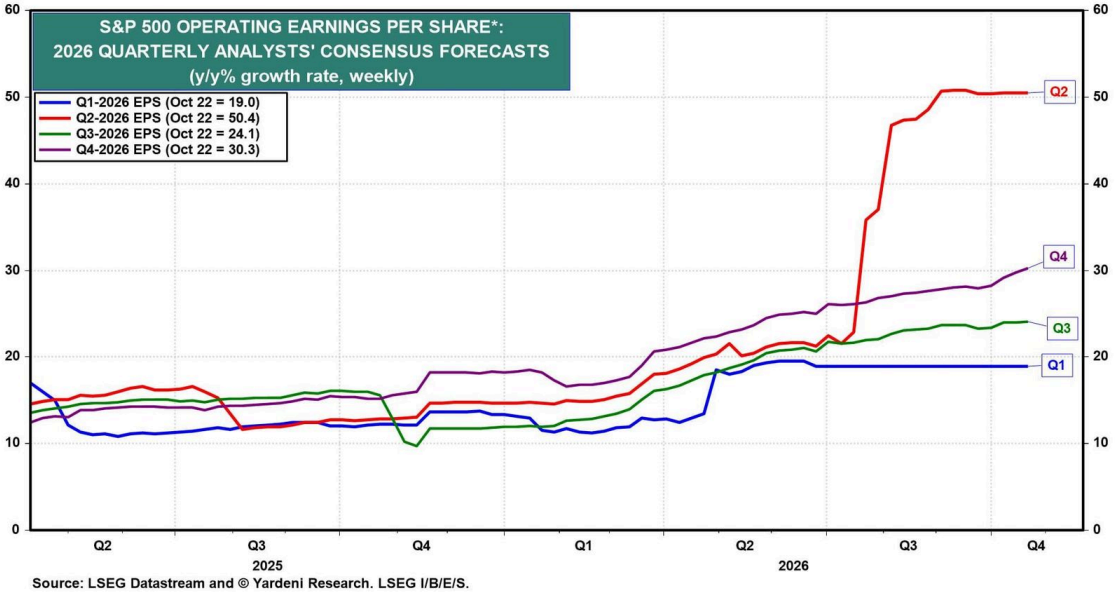
**(4) Regional business surveys.** The Richmond Fed's manufacturing index (Tue) follows September's -2 reading. The regional M-PMI business activity index slipped to 13.4 in September from August's 18.7, while the national M-PMI eased to 54.5 from 54.6 (chart).




Source: LSEG Datastream and © Yardeni Research. Institute for Supply Management (ISM) and Federal Reserve banks of New York, Philadelphia, Kansas City, Dallas and Richmond.
* Average of Dallas, Philadelphia, Kansas City, New York, and Richmond Fed business surveys.

**(5) Earnings.** The earnings reporting season heats up this week, with 36% of the S&P 500 companies set to report. Boeing, Seagate, and Corning report on Tuesday. Alphabet, Microsoft, SK Hynix, and GE Vernova follow on Wednesday. Samsung, Intel, Eli Lilly, SanDisk, and Amazon report on Thursday. Exxon Mobil reports on Friday.

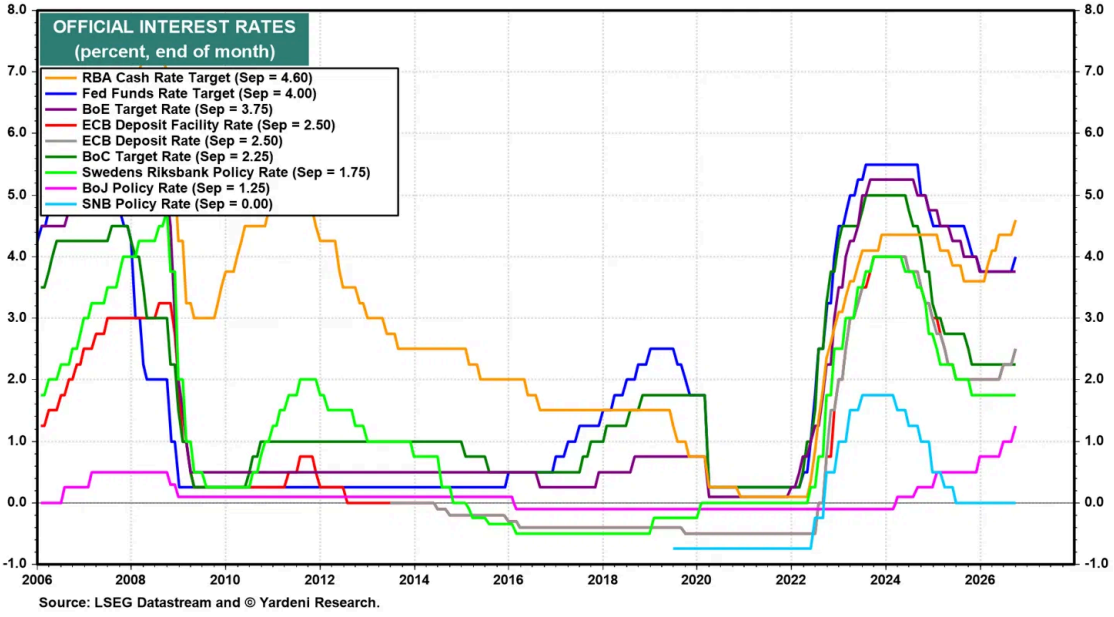
Analysts' consensus estimates imply Q3-2026 operating EPS growth for S&P 500 companies of 24.1% y/y, slightly up from last week (chart). Q4 estimates have also risen.




Source: LSEG Datastream and © Yardeni Research. LSEG I/B/E/S.
* Growth rates compare current members of the S&P 500 with members in the index a year earlier (apples-to-oranges comparisons).

**(6) Global central banks**. Both the Reserve Bank of New Zealand and the Bank of Canada (Wed) are expected to hike by 25bps. The markets are pricing in 88% odds that the RBNZ will lift its official cash rate to 3.00**%** and an 85% chance that the BOC will raise its policy rate to 2.50%. The European Central Bank (Thu) and the Bank of Japan (Fri) are set to hold their policy rates at 2.50% and 1.25%, respectively (chart).

December is the focus for the latter pair. The markets are pricing in 75% odds of an ECB hike in December and a 74% probability of a BOJ hike. Guidance from ECB President Christine Lagarde and BOJ Governor Kazuo Ueda will show whether those odds hold.




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